# Forms of Business

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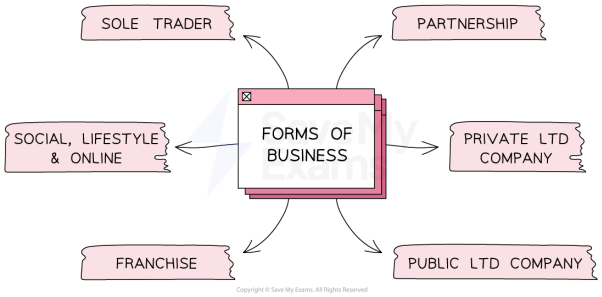
## Common forms for start-up businesses

- When an entrepreneur starts a business, they will often start operating as a **sole trader**
- Over time, they may change the form of business to **gain more funding** or **provide more security** for the owners with **limited liability**

### Legal forms of business




*The different types of business structures available to the owners*

- Three of the most common forms of business at start-up are sole traders, partnerships and private limited (Ltd) companies
- Each one of these forms has various advantages and disadvantages associated with its structure

## Sole trader

- A business that has a single owner (although they may still hire employees) with **unlimited liability**
- **Advantages** include:
  - They are easy and inexpensive to set up
  - The owner has **complete control** over the business
  - All profits belong to the owner
  - Simple tax arrangements
- **Disadvantages** include:
  - The sole trader is **responsible for any debts** the business incurs
  - Limited access to finance and capital
  - Limited skill set of the single business owner

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

    - Examples of this type of business include lawyers and accountants

- **Advantages** include:
    - Easy to set up and inexpensive
    - Shared responsibilities and decision-making
    - **More skills and knowledge are available**
    - Increased access to finance and capital

- **Disadvantages** include:
    - Partners have unlimited liability
    - **Potential for disputes** between partners
    - **Profits are often shared equally**, regardless of contribution
    - Difficult to transfer ownership

## Private limited company

Help me understand

- The ownership of the business is broken down into a **specified number of shares**
    - These shares can be sold by the owner, usually to friends and family or to **venture capitalists**
    - Decision-making often rests with the person appointed to run the company, often called the **managing director or CEO**

- **Advantages** include:
    - **Limited liability**, meaning the owners are not personally responsible for the company's debts
    - **Access to greater finance** and capital
    - Easier to transfer ownership
    - Can have a professional image and reputation

- **Disadvantages** include:
    - More **expensive and time-consuming to set up**
    - More complex legal requirements and regulations than sole traders
    - Annual financial reporting and auditing are required
    - Shareholders have little control over the company, as the **founder usually imposes their agenda**

# Other forms of business

- Several other forms of business have also gained prominence in recent years, including **franchising**, social enterprises and lifestyle and online businesses
- There is a growing trend in setting up **lifestyle businesses** as people demand flexibility and a better work-life balance

## Franchising

- Franchising is a business model in which an **individual (franchisee)** buys the rights to operate a business model, branding and support from a **larger company (franchisor)** in exchange for an initial lump sum plus ongoing fees called **royalties**

    - E.g. Domino's Pizza, KFC, Burger King

| Advantages | Disadvantages |
|---|---|
| • Lower risk of failure because the franchisee is using an established brand and proven business model | • High initial costs and ongoing fees (e.g. royalties, advertising contributions) reduce profit margins |
| • Support and training provided by the franchisor (e.g. marketing, operations, supplier networks), which makes running the business easier | • Less independence, as the franchisee must follow strict rules and cannot make major changes without approval |

## Social enterprises

- A social enterprise is a business that has the **primary purpose of creating a social or environmental impact** (in addition to generating profits)
- **Profits are usually reinvested back** into the business, used to create positive social change or address an environmental issue
- E.g. Warby Parker is an eyewear company that donates a pair of glasses to someone in need for every pair of glasses sold

| Advantages | Disadvantages |
|---|---|
| • Ability to combine making money with achieving a positive social or environmental impact, which can be personally rewarding | • Access to finance can be difficult, as investors may be cautious about limited profit opportunities |
| • Stronger customer loyalty and community support, as people may be more likely to buy from an ethical business | • Balancing social goals with financial sustainability can be challenging and may limit growth |

## Lifestyle businesses

- Lifestyle businesses are typically **small, owner-operated businesses** that prioritise a specific lifestyle or personal interest of the owner over profits or growth
- These businesses are often run from home or in a location that allows the owner to maintain a particular lifestyle or work-life balance
    - E.g. yoga instruction, personal training, business coaching

| | |
|---|---|
| • Owners can prioritise personal goals, such as work-life balance, travel or flexible hours, rather than focusing purely on maximising profit | • Limited potential for growth, as expansion might conflict with the owner's lifestyle objectives |
| • Opportunity to run a business based on personal interests or passions, making work enjoyable and motivating | • Financial returns may be lower compared to other business models, especially if the owner chooses to satisfice rather than maximise profit |

## Online businesses

- Online businesses often have **low overhead costs and can operate from anywhere** with an internet connection
- These businesses are still **required to have a legal structure**, such as a sole trader or a private limited company
  - E.g. e-commerce stores, online courses and software as a service (SaaS) companies, such as **Save My Exams**

| Advantages | Disadvantages |
|---|---|
| • Lower start-up costs compared to a physical location, as there is no need to rent or maintain premises | • High competition online makes it difficult for a new business to stand out |
| • Ability to reach a wide customer base beyond the local area, as products can be sold nationally or even internationally | • Reliance on technology and delivery services, meaning website issues or shipping delays can harm customer satisfaction |

# Becoming a public limited company (PLC)

- When a business is growing rapidly, it may **require a significant amount of capital** to fund its expansion
- To secure this funding, it may choose to transition from a **private limited company (LTD) to a public limited company (PLC)**, thereby allowing the **sale of shares on the stock market**
- This is a complex process with many legal requirements and involves undergoing a **stock market flotation**

| Advantage | Explanation |
| --- | --- |
| **Access to Capital** | • Significant amounts of capital can be **raised very quickly**<br>• This is often a more cost-effective way to raise capital than borrowing money from banks or other lenders |
| **Shared risks** | • The risks associated with ownership are **spread among a larger group of shareholders**<br>  ○ This reduces the financial risk to any one individual |
| **Increased liquidity** | • A company's shares become more liquid (they can be bought and sold more easily) on a **public stock exchange**<br>• This can increase the value of the company's shares and make it **easier for shareholders to buy/sell** shares |
| **Extended decision-making** | • The company will have a **board of directors** made up of independent directors and representatives from major shareholders<br>• This can extend the **decision-making process** and bring in additional expertise/perspectives that can help the company grow and expand |
| **Greater public profile** | • Becoming a PLC can raise a company's public profile and **increase its visibility** with customers, suppliers and potential investors<br>• This increased visibility can **help the company attract new business** and grow its customer base |

- The top three **initial public offerings** as of March 2023 are:
  - The Saudi Arabian oil company **Saudi Aramco** raised $29.4 billion in its IPO in December 2019
  - The Chinese e-commerce company **Alibaba Group** raised $25 billion in its IPO in 2014
  - The Japanese telecommunications company **SoftBank Corp.** raised $23.5 billion in its IPO in 2018

### Examiner Tips and Tricks

When assessing the best form of business to be used in a particular situation (or if a business should change its form), the decision needs to consider any evidence provided about

unlikely to be ready to become a public limited company, but it may well benefit from transitioning from a sole trader to a private limited company.

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